❖ **Summarising the Transactions**

Summarising the Transaction is the preparation of the year end summary known as "Final Accounts". Before preparing final accounts, a list of all ledger balances are prepared in the form of a statement known as "Trial Balance". Final accounts consist of trading and profit and loss, Account and Balance Sheet". Trading, profit and loss account reveals the net result of the business. The balance sheet depicts the financial position of the business.

❖ **Interpreting the Results**

The final stage is to analyse and interpret the results as per the final accounts. This includes computation of various accounting ratios to assess the liquidity, solvency and profitability of the business. This helps the entrepreneur understand all the activities of the company, financial status and plan for the future of the company.

DO YOU KNOW?

Who was the first to start Accounting?

The Italian Luca Pacioli, recognized as The Father of accounting and book keeping was the first person to publish a work on double-entry book keeping and introduced the field in Italy. The modern profession of the chartered accountant originated in Scotland in the nineteenth century. Accounting began to transition into an organized profession in the nineteenth century, with local professional bodies in England merging to form the Institute of Chartered Accountants in England and Wales in 1880.



13.5.1 Trial Balance

It is a statement containing the balances of all ledger accounts as on given date. It is prepared to check the arithmetical accuracy of the ledger postings.

13.5.2 Financial Statements

The purpose of financial accounting is to keep records of all the financial transactions so that profit earned or loss incurred can be worked out. Financial position of the business can be ascertained and the financial information required can be provided. The financial statements primarily include trading and profit and loss account balance sheet and Generally Accepted Accounting Principles (GAAP) state that a complete set of financial statements must include:

- Profit and Loss Account or Income Statement,
- Statement of Retained Earnings,
- Balance Sheet, and
- Statement of changes in Financial Position.

13.5.2.1 Fund Flow Statement

It is an important analytical tool in hands of the management useful for analysing the past and planning for the future. It is useful in following and many more aspects;

- It serves as a control device
- It helps in proper allocation of resources
- It helps in the management to formulate financial policies
- It communicates valuable information regarding concerns financial position to outside world

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